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<u>JUDGMENT SHEET</u>

IN THE LAHORE HIGH COURT
MULTAN BENCH MULTAN
JUDICIAL DEPARTMENT

F.A.O. No.50 of 2013

Muhammad Ashraf

Versus

Sh. Muhammad Akram, etc.

<u>J U D G M E N T</u>

Date of Hearing:	14.12.2021.
Appellant by:	Syed Athar Hassan Shah, Advocate
Respondents by:	Syed Fayyaz Hussain Naqvi, Advocate. Syed Sibt-e-Nabi Abidi, Advocate.

<u>Anwaar Hussain, J.</u> The present appeal is directed against the impugned order dated 02.03.2013, passed by the learned District & Session Judge/Presiding Officer, District Consumer Court, Multan whereby the claim of the appellant has been dismissed, being time barred.

2. Briefly stated facts of the case are that a claim under Sections 25 and 28 of the Punjab Consumer Protection Act, 2005 (hereinafter '**the Act**') was filed against the respondents, with the averments that the appellant got booked his commodities, worth Rs.676,421/-, contained in 5-bags, on 10.10.2011 and 11.10.2011, through cargo service of the respondents, claiming that the same were lost on 20.01.2012, as loaded truck of the respondents was purportedly stolen away; that subsequently, while admitting the claim of the appellant, a cheque of Rs.100,000/- was issued by the respondents to the claimant on 25.01.2012, which was dishonoured on its presentation, and therefore, legal notice was served upon the

respondents that was followed by filing of the claim in the District Consumer Court, Multan. Respondents refuted the claim by tendering the written reply, which included preliminary objections as well as response on merits, whereafter, the claim was dismissed through the impugned order on the ground that same was time barred in terms of sub-section (4) of Section 28 of the Act.

3. Learned counsel for the appellant submits that the impugned order has been passed in a slipshod manner without cogent reasons, therefore, the same is liable to be set aside. Adds that the cause of action though accrued on 15.10.2011 when the goods were supposed to reach the appellant; however, the respondents initially kept on requesting for some time to trace the goods of the appellant and later admitted the claim on the ground that the said goods have been stolen away, therefore, the cause of action was recurring in nature. Further contends that under second proviso to sub-section (4) of Section 28, limitation period is extendable up to one year for which formal application is not required to be filed. Concludes that these aspects of the case have been ignored by the learned trial court.

4. Conversely, learned counsel for the respondents have vehemently opposed this appeal and fully supported the impugned order and prayed for dismissal of this appeal.

5. Arguments heard. Record perused.

6. It is admitted fact that the appellant got booked his cargo on 10.10.2011 and 11.10.2011 from Lahore to Multan, which was supposed to reach by 15.10.2011; however, it did not reach and was not delivered to the appellant at Multan. It is also borne by the record that an FIR No. 342/11, dated 12.10.2011, under Sections 392/397, Pakistan Penal Code, 1860 had been registered, with respect to the missing truck allegedly carrying the goods of the appellant as well. The appellant has pleaded that he did not know about the loss of the goods until 20.01.2012. It has been further

pleaded by the appellant that respondent No.2 issued a cheque, bearing No. 0036860407, of an amount of Rs. 100,000/- on 25.01.2012 and received the original receipts from the appellant with the promise to give the remaining amount to the appellant as well. The said cheque could not be encashed due to insufficient funds. The claimant finally served legal notice upon the respondents, on 14.05.2012, calling upon the respondents to compensate the loss of the appellant before approaching the learned trial court on 28.05.2012, after lapse of 163 days from the date when cause of action accrued i.e., 15.10.2011, the day when admittedly the cargo was to be delivered to the appellant but lost during the transit from Lahore to Multan.

7. Out of the factual canvass drawn above, the legal question that emanates and requires opinion of this Court is to the effect as to whether the claim of the appellant was rightly dismissed, being time barred, keeping in view the true legal import of sub-section (4) of Section 28 of the Act.

8. Before answering the legal question referred above, it is imperative to note that though the Act has been enacted with an avowed aim to protect the consumers and their rights as is evident from the reading of the preamble of the Act, the businesses and the interest of the society are also required to be safe-guarded, which is internationally recognized principle envisaged under the United Nations Guidelines for Consumer Protection.[1] Guideline No. V(F) states as under:

> "Member States should encourage the development of fair, effective, transparent and impartial mechanisms to address consumer complaints through administrative, judicial and alternative dispute resolution, including for cross-border cases. Member States should establish or

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[1]Available at https://unctad.org/system/files/official-document/ditccplpmisc2016d1_en.pdf

> maintain legal and/or administrative measures to enable consumers or, as appropriate, relevant organizations to obtain redress through formal or informal procedures that are expeditious, fair, transparent, inexpensive and accessible. Such procedures should take particular account of the needs of vulnerable and disadvantaged consumers. **Member States should provide consumers with access to remedies that do not impose a cost, delay or undue burden on the economic value at stake and at the same time do not impose excessive or undue burdens on society and businesses.**"
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> (**Emphasis supplied)**

Thus, both the rights of the consumers and those of society and/or businesses have to be protected simultaneously. Under the Act, on one end of the fulcrum is the objective to provide a speedy and effective remedy to the consumer and on the other end is the consideration to ensure that the businesses are not burdened by the time barred cases. Scheme of law envisaged under the Act is unequivocal in this regard.

9. Perusal of scheme of law, under the Act, reveals that the legislature, in terms of Section 28 thereof in particular, has provided the entire mechanism, along with time-limit of thirty days from the accrual of cause of action, for filing the claim before the Consumer Court. For ease of reference, Section 28 of the Act, is reproduced hereunder:

> "28. **Settlement of Claims:** (1) *A consumer who has suffered damage*, or Authority in other cases, *shall, by written notice, call upon a manufacturer or provider of services that a product or service is defective or faulty, or the conduct of the* manufacturer or service provider is in contravention of the provisions of this Act and he should remedy the defects or give damages where the consumer has suffered damage, or cease to contravene the provisions of this Act.

> (2) The manufacturer or service provider shall, within fifteen days of the receipt of the notice, reply thereto.
>
> (3) No claim shall be entertained by a Consumer Court unless the consumer or the Authority has given notice under sub-section (1) and provides proof that the notice was duly delivered but the manufacturer or service provider has not responded thereto.
>
> (4) *A claim by the consumer or the Authority shall be filed within thirty days of the arising of the cause of action*:
>
> *Provided that the consumer court, having jurisdiction to hear the claim, may allow a claim to be filed after thirty days within such time as it may allow if it is satisfied that there was sufficient cause for not filing the complaint within the specified period.*
>
> *Provided further that such extension shall not be allowed beyond* a period of sixty days from the expiry of the warranty or guarantee period specified by the manufacturer or service provider and if no period is specified one year from the date of purchase of the products or providing of service."
>
> ***(Emphasis supplied)***

Bare reading of the above referred provision brings out, in no less succinct manner, that the time-limit of thirty days has been provided for filing of the claim with the condition that prior to filing of the claim and after the accrual of cause of action, a written notice is to be sent to the manufacturer of goods or service provider, as the case may be, requiring him to rectify the breach and compensate the claimant. Sub-section (2) obligates such manufacturer and/or provider of services to reply the said notice within fifteen days from receipt of the notice. Meaning thereby that the claimant, in a case under the Act, has to put forth his claim in a written notice within such period of time that it enables the manufacturer of goods or the service provider, as the case may be, to respond within fifteen days thereafter so that in case of default on part of the said manufacturer or the service provider to respond within said period of fifteen days, the claimant can approach the court within thirty days commencing from the date of accrual of cause of action. The cause of action accrues in favour of a claimant, the moment goods or services provided turn out to be defective and/or in violation of the provisions of the Act. Service of written notice upon the manufacturer or provider of service, envisaged under the Act, is a mechanism and procedure set out by the legislature for the redressal of such cause of action prior to approaching the judicial forum i.e., Consumer Court. If the manufacturer and/or provider of services admits the claim of the claimant on receiving the written notice and compensate the claimant to the satisfaction of the latter, the cause of action, as a natural corollary, comes to an end. Conversely, the denial of the claim or no response to the written notice keeps the limitation running. Therefore, there is no force in the argument that as no limitation is provided for issuance of written notice under sub-section (1) of Section 28 of the Act, the same could be issued at any time and limitation of thirty days provided under sub-section (4) of Section 28 starts running only after issuance of the written notice since the cause of action is recurring in such like cases. Such an argument is misconceived and if accepted, would defeat the purpose of time-limitation provided by the legislature under sub-section (4) referred hereinabove. Therefore, while the remedy to the consumers for their protection has been provided under the Act, the legislature could not have left it open-ended at the will of the claimant to serve written notice whenever he feels convenient. Rather, the written notice is to be served immediately on the accrual of cause of action because the limitation period of thirty days to approach the Consumer Court includes the service of written notice, which is condition precedent to approach the Consumer Court in terms of sub-section (3) of Section 28. It is imperative to note that given the nature of the Act, as a special statute, the legislature not only provided special limitation period for filing claim under the Act, but also vested jurisdiction in the Consumer Court to condone delay in filing the claim in cases where sufficient cause for such delay is established to the satisfaction of the Consumer Court as is evident from the first and second proviso to sub-section (4) of Section 28 of the Act.

10. In the instant case the entire chain of events, leading to the filing of the claim, as per contentions of the appellant, are articulated in para 3 of the application filed by the appellant, before the learned trial court, under Sections 25 and 28 of the Act. For facility of reference, para 3 thereof is reproduced hereunder:

> ”یہ کہ مورخہ 15.10.2011 تک مسئول علیھم نے سامان
> متذکرہ سائل کی دوکان پر نہ پہنچایا جس پر سائل نے مسئول علیھم
> سے سامان متذکرہ کی بابت دریافت کیا تو انہوں نے کہا کہ آپ کا
> سامان کہیں گم ہوگیا ہے جسے ہم تلاش کر رہے ہیں جو بہت جلد ہی
> آپ کے پاس پہنچا دیا جائے گا جس کے بعد سائل مسلسل سامان
> متذکرہ کی بابت پتہ جوئی کرتا رہا لیکن مسئول علیھم مختلف حیلے
> بہانوں سے ٹال مٹول کرتے رہے بالآخر مورخہ 20.01.2012 کو سائل
> کے اصرار پر مسئول علیھم نے کہا کہ سامان سے بھرا ہوا ہمارا ایک
> ٹرک چوری ہوگیا تھا جس میں آپ کا سامان بھی تھا جسے ہم نے
> بہت تلاش کیا لیکن وہ نہیں ملا ہے آپ فکرمند نہ ہوں ہم
> آپ کو سامان کی مکمل قیمت ادا کریں گے آپ فی الحال ایک لاکھ
> روپے وصول کریں اور باقی رقم بھی آپ کو ادا کر دیں گے چنانچہ محمد اکرم
> مسئول علیہ نمبر 1 نے سائل سے اصل بلٹی ہائے لیکر سائل کو
> چیک نمبر 0036860407 مورخہ 25.01.2012 مالیتی مبلغ ایک
> لاکھ روپے مجریہ ازاں شیخ عبدالحمید مسئول علیہ نمبر 2 دیا اور باقی
> رقم بھی جلد ادا کرنے کا وعدہ کیا۔“

(Emphasis supplied)

Bare perusal of para 3 reveals that the appellant has tried to explain as to why he kept delaying issuance of the written notice after admitting that he was well aware of the fact that the cargo he booked had been lost by 15.10.2011. However, the reasoning provided therein does not appeal to the common sense inasmuch as the cause of action accrued on 15.10.2011 when the goods of the appellant did not reach Multan and the subsequent events, narrated by the appellant in para 3 of his application, even if considered to be correct, cannot be construed to have such effect as to halt the limitation once it has already started running. The Act, ensures speedy remedy to the consumers and in this regard, has envisaged a prompt action on the part of an aggrieved person to approach the Consumer Court, within a period of thirty days from the date of arising of cause of action after serving a written notice to the service provider or manufacturer of the goods, as the case may be, and failure to serve the notice or to approach the court within stipulated time is fatal to the case of the claimant. Learned counsel for the appellant could not deny the fact that cause of action arose on 15.10.2011 and admittedly, no application for condonation of delay has been filed on the ground that when the respondents were approached, without issuing a formal written notice, they solicited time from the appellant to trace the goods of the appellant but later on, the respondents admitted the claim and handed over a cheque to the tune of Rs.100,000/- to the appellant; hence, the claim was filed only after the said cheque was dishonored and the respondents refused to pay the remaining amount. Therefore, claim of the appellant was, according to learned counsel for the appellant, not time barred. Moreover, emphasis has been laid down in the grounds of the present appeal as well as during the course of arguments that the second proviso to sub-section (4) of Section 28 empowers the Consumer Court to extend time limit for sixty days beyond the period of warranty or guarantee, if there is any warranty/guarantee provided under the contract between the parties, and where no period of warranty or guarantee has been provided, time limitation to approach the Consumer Court is to be construed as one year by operation of law and this aspect has been ignored by the learned trial court. In this regard, it is pertinent to note that the first proviso to sub-section (4) vests discretion in the Consumer Court to extend time limitation beyond the thirty days provided under sub-section (4) but such discretion is subject to the establishment of sufficient cause, to the satisfaction of the court, for not filing the claim within the specified period and second proviso is an extension of the first proviso. The plea of learned counsel for the appellant is misconceived that, in terms of second proviso to sub-section (4) of Section 28 of the Act, delay can be condoned for a period of sixty-days beyond period of warranty/guarantee provided under the contract between the parties or deemed to be one year from the date of purchase of product or provision of services where no such warranty or guarantee is provided and for this purpose filing of formal application for condonation of delay is not required. Unless the Consumer Court is approached by a claimant with the application for condonation of delay or extension of time period specified in sub-section (4) of Section 28 of the Act, a time barred claim cannot be entertained. Reference is made to *Coca-Cola Beverages Pakistan Limited v. Ashiq Ali*[2]; *Tanvir Ahmad Butt v. The Director, Oratier Technologies (Pvt.) Ltd.*[3]; and *Al-Ghazi Tractor Limited through Manager and 2 others v. Peer Muhammad Ali*[4] in this regard. No doubt that the second proviso to sub-section (4) referred above, vests discretion in the Consumer Court to extend time limit but the said proviso cannot be and should not be read in isolation from the first proviso. The contention of learned counsel for the appellant that the claim can be filed within one year as provided under second proviso to sub-section (4) of Section 28 on the ground that cause of action is recurring in nature under the Act,

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[2] **PLD 2014 Lahore 196**
[3] **2018 CLD 1064**
[4] **2019 CLC 580**

is also not tenable and fails to hold any water in view of the established principles and canons of construction and interpretation of statutes *qua* scope of a proviso in an enactment. It is well settled law that proviso in a statute by no means could be construed in a manner so as to make the main section redundant. In case reported as *Enmay Zed Publications (Pvt.) through Director-General v. Sindh Labour Appellate Tribunal through Chairman and 2 others*[5] it has been held by the Hon'ble Apex Court as under:

> "…According to well-established principles of interpretation of statutes, and in particular proviso attached to the main section is that the same operates as an exception and cannot render redundant or ineffective the substantial provisions of the main section…"

Similarly, the august Supreme Court in judgment reported as *Dr. Muhammad Anwar Kurd and 2 others v. The State through Regional Accountability Bureau, Quetta* [6] held as under:

> "…It is, therefore, understandable that proper function of the proviso is that it qualifies the generality of the main enactment by providing an exception and taking out as it were, from the main enactment. Thus, to say that proviso shall normally be construed not merely to limit or control, but nullifying the enactment and taking away completely a right conferred by the enactment, is incorrect…"

This Court is also fortified by the *dicta* laid down in *Province of Sindh through Chief Secretary and others v. M.Q.M. through Deputy Convener and others*[7]. Thus, it becomes crystal clear that the provisos to sub-section (4) of Section 28 of the Act cannot be so interpreted as to make sub-section (4) itself redundant, which provides limitation period of thirty days as 'the specified period' for filing of the claim. Thus, the natural interpretation is that the first

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[5] **2001 SCMR 565, para 10**
[6] **2011 SCMR 1560, para 22**
[7] **PLD 2014 Supreme Court 531**

proviso modifies the scope and effect of sub-section (4) to the extent that the general period of limitation provided under sub-section (4) may be relaxed/extended/modified in cases where the Consumer Court is satisfied that there was sufficient cause for not filing the complaint within the specified time and the second proviso to sub-section (4) of Section 28 of the Act is a qualifying provision, which limits the discretion vested in the Consumer Court through first proviso *qua* 'the specified period' and gains traction from the use of words "such extension" in the second proviso. It is also settled law that a proviso is applicable only to such provision which precedes it. Thus, it is sub-section (4) which precedes the provisos and therefore, both the provisos have to be read in conjunction with the main provision i.e., sub-section (4) of Section 28. While the main provision stipulates limitation period of thirty days, the first proviso provides for situation in which such limitation period may be relaxed and delay can be condoned and refers back to limitation period under sub-section (4) by using the words 'the specified period' whereas the second proviso places an embargo on the maximum time for which 'the specified period' could be extended under first proviso by use of words "such extension" in the second proviso. Since the appellant has not even filed any application seeking condonation of delay in filing the time barred claim let alone establishing any sufficient cause, to the satisfaction of the Consumer Court, for seeking extension of the time and/or condonation of limitation period, the said court was justified in dismissing the claim of the appellant, being time barred as the cause of action has arisen and accrued on 15.10.2011 when the consignment/shipment was due to arrive at its destination but did not reach and the written notice was served upon the respondents on 14.05.2012 and the claim was filed on 28.05.2012. In this regard, the explanation extended by the appellant is that the respondents have issued a cheque to the tune of Rs. 100,000/- on 25.01.2012 but that too was dishonored, which was one of the reasons that the claim was filed thereafter and not within thirty days w.e.f 15.10.2011 that is the date when the cause of action accrued. However, even if it is assumed, without so holding and deciding, that the issuance of cheque conferred fresh cause of action on the basis of acknowledgement in terms of Section 19 of the Limitation Act, 1908, (the **Act 1908**"), the period of thirty days from the date of issuance of the cheque i.e., 25.01.2012 also lapsed prior to filing of the complaint on 28.05.2012.

11. At this juncture, it would dovetail well to have a look at the law in order to ascertain whether the issuance of the cheque on 25.01.2012 confers fresh cause of action by considering the issuance of cheque as an acknowledgement of the claim. Sub-section (1) of Section 19 of the Act, 1908 spells out as under:

> **"Effect of acknowledgment in writing**. ---(1) Where, before the expiration of the period prescribed for a suit or application in respect of any property or right, an acknowledgment of liability in respect of such property or right has been made in writing signed by the party against whom such property or right is claimed, or by some person through whom he derives title or liability, a fresh period of limitation shall be computed from the time when the acknowledgment was so signed.

Bare reading of the sub-section (1) of Section 19 of the Act, 1908 leads to the ineluctable conclusion that fresh cause of action on the basis of acknowledgment comes into play only if such acknowledgement is made before the expiration of the period prescribed for a suit or application. This exposition of law if applied to the facts of the case leaves no doubt in the mind of this Court that the learned trial court has rightly held it to be barred by time as the cheque, even if taken as an acknowledgment, was issued after expiry of the specified time period of thirty days. The consignments by the claimant/appellant were booked on 10.10.2011 and

11.10.2011, which were supposed to reach Multan by 15.10.2011 but did not reach on account of *dacoity* on the way as is reflected from the FIR referred above. This kick started the limitation for filing of claim within thirty days, which lapsed on 15.11.2011 whereas, as per the appellant's own averments, the cheque was issued on 25.01.2012, which was issued after the expiration of the limitation/time prescribed for filing of the claim. Therefore, even the issuance of cheque cannot be held to be acknowledgment to count fresh period of limitation in terms of Section 19 of the Act, 1908. Any guidance needed in this regard can be sought from *M.S. Port Services (Pvt.) Ltd. v. Port Qasim Authority*[8].

12. The crux of the above referred discussion is that the legislature, in its wisdom, has provided a period of thirty days to the claimant to approach the Consumer Court for redressal of his grievance after the accrual of cause of action, by serving notice to the manufacturer of goods or the service provider and it is only subject to establishing a sufficient cause to the satisfaction of the trial court that the limitation envisaged under sub-section (4) of Section 28 can be condoned. The object of expeditious adjudication of the same will get defeated if the courts were to entertain belated claims except such cases, which fall within the scope of first and second proviso to sub-section (4) of Section 28. In the instant case, mere verbal assertion on part the appellant that he was denied his claim on one pretext or the other after the shipment did not reach at its destination on 15.10.2011, followed by the receipt of a cheque of Rs. 100,000/-, has been canvassed before the trial court to assert that the cause of action did not accrue on 15.10.2011 but on a later date when the written notice was issued, after cheque dated 25.01.2012 was dishonoured, and same are mere bald assertions explaining the delay, without filing of any formal

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[8] **PLD 2012 Sindh 182**

application for condonation thereof. Said assertions are nothing but a puerile explanation, which if accepted will render that a claim under the Act can never be held to be time barred as mere such like verbal assertions, on part of a claimant under the Act, will make the cause of action recurring till issuance of a written notice in terms of sub-section (3) of Section 28. In such an eventuality, the well-established principle for condonation of delay that each and every day has to be explained by filing an appropriate application, will be a mere academic moot point before the courts, without any legal effect.

13. For what has been discussed above, this appeal has no substance. The same is accordingly **dismissed**. No order as to cost.

(ANWAAR HUSSAIN)
Judge

Approved for Reporting

Judge

*Maqsood**